down your investing, take a step back, and look for rational investment strategies such as less active investing through mutual funds and even exploring passive investing through index funds and ETFs (exchange-traded funds).

6 SLOTH: IGNORING THE BASICS

In every investor's journey, there comes a time when complacency gets the better of them. They tend to ignore the basics and begin to believe that investments make profit because of some magic that they have. This is especially true during a bull run when almost every stock goes up irrespective of its quality or business strategy.

Investing, like any other endeavour, requires knowledge and skills that need to be updated to changing times and scenarios. For instance, investing in IPOs was very straightforward a couple of decades ago, but the process has changed, which means that as an investor, you can no longer take it for granted that you will be allotted shares in an IPO. Similarly, the basic tenet of investing is all about asset allocation and diversification. This means you need to keep rebalancing your portfolio to maintain the asset allocation that suits your risk profile and investment objective.

As markets move up or down, the composition of your portfolio strays from the asset allocation you've set out in your plan. To rebalance, you need to return to target weightings by selling assets that have risen in price and buying those that have done less well.

7 PRIDE: WHEN EGO DRIVES INVESTING DECISIONS

A tendency to believe that patterns repeat and assume that it is an indicator of a trend is a sign of a bias. Your overconfidence may stem from a few bets that you placed working out favourably. This could also be due to factors that you aren't aware of. If you often think that you are better at investing than others, you suffer from the sin of pride.

The best of fund managers know that it is difficult to beat market returns. However, if you choose a benchmark that is way below what your investments need to be benchmarked against, you are cheating yourself. For instance, benchmarking equity returns to bank FDs, just because you started investing in equities with the money that was in the FD, isn't the right comparison. The best way to overcome this sin is to have an accurate way to understand investment research.

It is very easy to lose control over your investments, especially if you do not regularly track how they fare individually, and in comparison to the broad markets. You will lose the point of reference to evaluate your investment's performance to know how poorly or how well it has done. You also need to stay in sync with your investment goals and adjust them based on the time you have to reach the goal. If your goal is over 10 years away, you need to track its progress each passing year and not in the 8th or 9th year, and then panic.

There are often instances when you may reach your investment goal before the target date. This is a good sign, and while you should rejoice in this achievement, you should not believe this is the norm with your other investment goals. Don't let behavioural biases set in, because this can cause you to sin without realising you are doing so. It is always good to seek advice from a trusted investment advisor. ■

IT PAYS TO STAY INVESTED

YEAR	SENSEX	1-YEAR	3-YEAR	5-YEAR	10-YEAR
		RETURN (%)			
Jan. 1, '15	27,507.54				
Jan. 1, '16	26,160.9	-4.90%			
Jan. 1, '17	26,626.46	1.78%			
Jan. 1, '18	33,812.75	26.99%	7.12%		
Jan. 1, '19	36,254.57	7.22%	11.49%		
Jan. 1, '20	41,306.02	13.93%	15.76%	8.47%	
Jan. 1, '21	47,868.98	15.89%	12.29%	12.84%	
Jan. 1, '22	59,183.22	23.64%	17.75%	17.32%	
Jan. 1, '23	61,294.2	3.57%	14.06%	12.63%	
Jan. 1, '24	72,271.94	17.91%	14.72%	14.79%	
Jan. 1, '25	78,507.41	8.63%	9.88%	13.70%	11%

Source: BSE. The table indicates the returns the Sensex would have earned if one had stayed invested in it each year or in cycles of 3 years, 5 years, or 10 years over 11 years from January 1, 2015. The returns vary over each cycle, and the longer you stay, the less likely you are to lose money, and the return you earn also varies less